

Standard & Poor's 500-stock index would close the year at 1,650 and that the Dow Jones Industrial Average would finish 2001 at 13,000. "We do not expect a recession," said Cohen, "and believe that corporate profits are likely to grow at close to trend growth rates later this year." The U.S. economy was sinking into recession even as she spoke, and the S & P 500 ended 2001 at 1148.08, while the Dow finished at 10,021.50—30% and 23% below her forecasts, respectively.

— * See p. 3.

— * Without bear markets to take stock prices back down, anyone waiting to "buy low" will feel completely left behind—and, all too often, will end up abandoning any former caution and jumping in with both feet. That's why Graham's message about the importance of *emotional discipline* is so important. From October 1990 through January 2000, the Dow Jones Industrial Average marched relentlessly upward, never losing more than 20% and suffering a loss of 10% or more only three times. The total gain (not counting dividends): 395.7%. According to Crandall, Pierce & Co., this was the second-longest uninterrupted bull market of the past century; only the 1949–1961 boom lasted longer. The longer a bull market lasts, the more severely investors will be afflicted with amnesia; after five years or so, many people no longer believe that bear markets are even possible. All those who forget are doomed to be reminded; and, in the stock market, recovered memories are always unpleasant.

— * Graham discusses this "recommended policy" in Chapter 4 (pp. 89–91). This policy, now called "tactical asset allocation," is widely followed by institutional investors like pension funds and university endowments.

— * Many of these "formula planners" would have sold all their stocks at the end of 1954, after the U.S. stock market rose 52.6%, the second-highest yearly return then on record. Over the next five years, these market-timers would likely have stood on the sidelines as stocks doubled.

† Easy ways to make money in the stock market fade for two reasons: the natural tendency of trends to reverse over time, or "regress to the mean," and the rapid adoption of the stock-picking scheme by large numbers of people, who pile in and spoil all the fun of those who got there first. (Note that, in referring to his "discomfiting experience," Graham is—as always—honest in admitting his own failures.) See Jason Zweig, "Murphy Was an Investor," *Money*, July, 2002, pp. 61–62, and Jason Zweig, "New Year's Play," *Money*, December, 2000, pp. 89–90.

— * Today's equivalent of what Graham calls "second-line companies" would be any of the thousands of stocks not included in the Standard & Poor's 500-stock index. A regularly revised list of the 500 stocks in the S & P index is available at www.standardandpoors.com.